REPORTABLE (43)

GOLDEN CRUST BAKERIES (PRIVATE) LIMITED
v
ISRAEL CHEMWAYI

SUPREME COURT OF ZIMBABWE
HARARE: 1 JULY & 17 JULY 2026

E. Matsanura, for the applicant

Ms *N. Jakara*, for the respondent

IN CHAMBERS

MATHONSI JA:

1. This is an application for leave to appeal to this Court against the judgment of the Labour Court (the court *a quo*) handed down on 30 January 2026 which dismissed the applicant's appeal against an arbitral award issued by an Arbitrator, L. GABILO, in favour of the respondent.

2. The application is made in terms of r 66 (2) of the Supreme Court Rules, 2025 as read with s 92F (3) of the Labour Act [*Chapter 28:01*] (the Act) following the dismissal by the court *a quo* on 5 June 2026, of the applicant's application for leave to appeal. It was filed on 18 June 2026 and is opposed by the respondent.

3. I take the view that the intended appeal is not arguable at all as it enjoys absolutely no prospects of success. For that reason, the applicant has failed to satisfy the requirements of the law for the grant of leave to appeal. The application should be dismissed with costs.

THE FACTS

4. The applicant, an incorporation which conducts its business under the style, EAT n LICK, initially employed the respondent as its General Manager by a one-year fixed term contract of employment signed in May 2020. Thereafter, in January 2021 the parties signed a second fixed term contract to endure until 31 December 2021.

5. When the second fixed term contract expired, the parties signed a third fixed term contract in January 2022, whose end date was 31 December 2022.

6. Upon expiry of the third fixed term contract, the parties again signed another contract on 4 January 2023, which was produced by the respondent. Clause 2 of the fourth employment contract reads:

> "**2. DURATION**.
> 2.1. The contract commences on 1/01/2023."

Nothing further is stated in the fourth employment contract about its duration. During its tenure, in particular on 20 October 2023, the applicant granted the respondent ninety days "annual leave" commencing on 21 October 2023 and terminating on 21 January 2024.

7. It was while the respondent was still on annual leave that he was summoned back to work for a meeting on 2 January 2024, at which meeting he was advised of the termination of his employment contract on 31 December 2023. The termination occurred while he was still enjoying his annual leave. The respondent was aggrieved.

THE ARBITRATION

8. The respondent referred the dispute to Labour Officer, B. Garudzo, who may have attempted conciliation without success. As a result, and acting in terms of s 93 (5) (a) and (c) of the Act, the Labour Officer referred the dispute to arbitration before Arbitrator L. M. Gabilo on the following terms of reference:

> "(i) Whether or not claimant was on permanent contract of employment.

(ii) (Whether or not) claimant's contract of employment was unlawfully terminated.

(iii) The appropriate remedy thereof."

9. The thrust of the respondent's case was clearly set out in his statement of claim submitted to the Arbitrator thus:

> "1. Claimant was employed by the respondent, Golden Crust Bakeries (Pvt) Ltd t/a Eat n Lick since May 2020 as a General Manager. Claimant has been continuously signing one (1) year contracts until January 2023 when he signed a contract without limit of time. Copies of the four (4) contracts signed by the Claimant and respondent are hereto attached and marked as Annexures 'A1', 'A2', 'A3' and 'A4'.
>
> 2. On 20 October 2023, the Claimant was sent on leave initiated by the respondent for 90 days that is from 21 October 2023 to 21 January 2024. A copy of the approved leave form is hereto attached and marked as Annexure 'B'.
>
> 3. On 2 January 2024, the Claimant was orally advised of the termination of his contract of employment with effect from 31 December 2023. It was the respondent's practice and policy to have beginning of the year meetings early January of each year. Despite the fact that the Claimant was still on leave, he was invited to attend the meeting and surprisingly he was notified of the termination of his contract of employment.
>
> 4. The Claimant's contract of employment was unlawfully terminated as he was on a permanent contract of employment as he signed a contract without limit of time in January 2023. In addition, the approved leave extended beyond 31 December 2023."

10. In contesting the claim before the Arbitrator, the applicant denied that the respondent was on a contract without limit of time, insisting that he was on a fixed term contract running from January 2023 to December 2023. It recorded its response in its opposing statement as follows:

> "(i) It is indeed true and correct that the Claimant was employed by Golden Crust Bakeries (Pvt) Ltd from May 2020 and has <u>always</u> signed annual fixed term contracts from January to December each year.
>
> (ii) It is denied that the Claimant was ever told of the termination of his contract verbally as alleged. What happened is that since the Claimant was on an annual contract, it terminated by effluxion of time and the Claimant was merely told that the respondent would not be giving him another contract.

(iii) The claimant was never on a permanent contract of employment as alleged. For the avoidance of doubt, I attach the copy of the official true and correct contract of employment the client signed with the respondents (*sic*) as Annexure 'A'.

The respondent is not aware of the contract of employment which the claimant is referring to and has attached to its papers. It is a doctored document; it is a fraudulent document. The document is simply a cheat."
(The underlining is mine)

11. I mention, as I pass, that the applicant did not dispute that the signature of its representative was appended on the contract it called "a cheat". Neither did it elaborate on how it was fraudulent. Significantly, the contract of employment attached to the applicant's statement which it referred to as "the official true and correct" one, has Clause 2 which reads:

"**2. DURATION**

2.1. This contract shall commence on 01/01/2023 to 31/01/2023."

12. Therefore, while the applicant's case was that the employment contract signed between the parties was a fixed term one subsisting from January 2023 to December 2023, it produced a fixed term contract of one month's duration as evidence of the contract. I must add that the applicant also did not explain why, if the contract expired in December 2023, it approved the respondent's annual leave up to 21 January 2024 other than merely stating, again in a contradictory manner, that the respondent was on "medical leave." I say this was contradictory because the leave form that was produced was specifically for "annual leave."

13. Faced with that, the Arbitrator rejected the applicant's version and embraced that of the respondent. He found that although the parties had, on three previous occasions, signed fixed term contracts of a year's duration, in January 2023 they had signed an open-ended contract. He found support for that view in the fact that the applicant had approved the

respondent's annual leave (not sick leave) from 21 October 2023 to 21 January 2024 which clearly outlived the 31 December 2023 termination date alleged by the applicant.

14. Having made that finding, the Arbitrator concluded that the respondent was on a contract without limit and that the purported termination communicated to him on 2 January 2024 was unlawful. It did not follow the prescribed procedure for termination of an employment contract. He ordered the reinstatement of the respondent or payment of damages in lieu of reinstatement.

THE APPEAL

15. The applicant was aggrieved by that outcome and filed an appeal to the court *a quo* on 3 grounds of appeal. They are:

    "1. The honourable arbitrator erred at law when he made a finding that the respondent's employment contract was a contract without a limit of time when the applicant clearly discredited such an averment and presented a proper contract.

    2. The honourable arbitrator erred at law when he made a finding that the respondent's employment contract was unlawfully terminated when it was clear that it was terminated by effluxion of time.

    3. The honourable arbitrator erred at law when he gave inappropriate remedy in favour of the respondent when the balance of convenience favours that his claim be dismissed."

16. I mention in passing that the applicant's argument *a quo* that the Arbitrator erred in making a finding based on legitimate expectation of a renewal of the employment contract, which became the applicant's mainstay, was clearly not in its grounds of appeal. It could not have been made on the grounds set out above. The respondent strenuously contested the appeal as being devoid of merit.

17. The court *a quo* was not impressed. Having thoroughly discussed the applicable law, the court *a quo* found, on the evidence presented to the Arbitrator, that the applicant failed to disprove that the contract produced by the respondent was not the genuine and operative one regulating the relationship between the parties. It also rejected the applicant's argument that there was a tacit relocation of the previous fixed term contract in January 2023. In its view, tacit relocation did not apply because the parties signed a new contract of no fixed duration after the expiry of the last fixed term contract.

18. Referring to s 12 (3) of the Act, which deems an employment contract that does not specify its duration or date of termination, as a contract without limit of time, the court *a quo* upheld the Arbitrator's finding that the agreement between the parties constituted a contract of indefinite duration. As a corollary to that, having regard to the fact that the respondent's employment was terminated without notice provided for in s 12 (4a) of the Act, and without following the termination procedure set out in the Act, the court *a quo* concluded that the termination was unlawful. It dismissed the appeal with no order as to costs.

THE APPLICATION

19. The applicant made an application for leave to appeal to the court *a quo* in terms of s 92 F (2) of the Act. It asserted that its intended appeal was on a point of law as required by s 92 F (1) of the Act and that it enjoys good prospects of success. By judgment delivered on 5 June 2026, the court *a quo* dismissed the application, taking the view that, although the grounds of appeal raised points of law, none of them had merit as could move the appeal court to come to a different conclusion.

20. Persistent, the applicant filed the present application in terms of r 66 (2) of the Supreme Court Rules, 2025, seeking leave from a judge to appeal to this Court against the

judgment of the court *a quo*. Its case is that the intended appeal raises compelling questions of law and enjoys good prospects of success.

21. The thrust of the applicant's case is that the court *a quo* should have applied the rules of interpretation when examining the two conflicting contracts submitted to the Arbitrator by the parties. Had it done so, it would have come to a realisation that the intention of the parties was to enter into a contract of fixed duration from January to December 2023. In the applicant's view, this was so because both contracts contained "a legitimate expectation clause" which acted as a reminder that the contract would not be renewed.

22. Expanding on that, the applicant asserted that the court *a quo* should have found that the Arbitrator erred by relying on the approval of the respondent's 90 days' annual leave from 21 October 2023 to 21 January 2024 to infer the existence of an employment contract without limit. It is however, not apparent from both the papers filed and oral submissions by counsel why that was a misdirection.

23. The respondent opposed the application maintaining that it does not satisfy the requirements for the grant of leave to appeal because the proposed appeal has no prospects of success. According to the respondent, the applicant's grounds of appeal to this Court do not relate to what was determined by the court *a quo*. The respondent disputed that there was ever a contractual dispute between the parties, the matter having only turned on which of the two contracts produced by the parties governed their relationship.

24. The respondent further disputed that the issue of legitimate expectation was raised by the applicant as a ground of appeal. According to him, the applicant tried to improperly smuggle it in as it is attempting to do in its draft grounds of appeal to this Court. He

urged the Court to dismiss the application with costs on the scale of legal practitioner and client.

SUBMISSIONS BY COUNSEL

25. Mr *Matsanura* for the applicant, submitted that the intended appeal raises points of law which deserve the attention of the appellate court and that it enjoys good prospects of success. In counsel's view, the court *a quo* erred in not subjecting the two documents relied upon by the parties to the rules of interpretation. Had it done so, the intention of the parties would have been clear in that both contracts contain a Clause on legitimate expectation which reads:

> "**14. LEGITIMATE EXPECTATION.**
>
> 14.1. Termination of this contract shall not raise legitimate expectation of any future engagement."

26. Mr *Matsanura* submitted that the Clause on legitimate expectation should be interpreted to mean that the parties entered into a fixed term contract given that a contract with no time limit would not have such a provision. He further argued that the Arbitrator contradicted himself by making a finding that the contract was without limit while at the same time finding that the respondent had a legitimate expectation for re-engagement in January 2024.

27. Asked where in the grounds of appeal *a quo* the applicant raised the issue of legitimate expectation, counsel dithered and finally settled for the position that it was raised in the heads of argument and that, as a point of law, it could be raised anyhow.

28. *Per contra*, Ms *Jakara* for the respondent, underscored the fact that there was never a contractual dispute between the parties. She asserted that after the applicant failed to impugn the contract document with no fixed time limit, it could not challenge the

Arbitrator's finding that the employment contract was without limit. According to counsel for the respondent, the applicant doggedly persisted with its one-month contract before the court *a quo* as a basis for challenging the validity of the one produced by the respondent.

29. Counsel submitted further that legitimate expectation was not the *ratio decidendi* of the arbitrary award and was therefore not a ground of appeal before the court *a quo*. She urged the Court to dismiss the application with punitive costs.

THE LAW

30. In discussing the law applicable to an application for leave to appeal against a judgment of the Labour Court, the point of departure is s 92F of the Act, which provides:

> "(1) An appeal on a question of law only shall lie to the Supreme Court from any decision of the Labour Court.
>
> (2) Any party wishing to appeal from any decision of the Labour Court on a question of law in terms of subsection (1) shall seek from the President who made the decision leave to appeal that decision.
>
> (3) If the President refuses leave to appeal in terms of subsection (2) the party may seek leave from the judge of the Supreme Court to appeal.

31. It is on the basis of s 92 F (3) that the present application was made, the applicant having been refused leave by the court *a quo*. Proceedings in this Court are, as in any other court, regulated by the Rules of the Court. The application is made in terms of r 66 (2) which is located in Part V11 of the Supreme Court Rules, 2025 dealing with "Miscellaneous Appeals and References." It reads:

> "(2). An appeal from a decision of the Labour Court in terms of s 92 of the Labour Act [*Chapter 28:01*] shall be delivered, and filed with a registrar, within 15 days from the grant of leave to appeal by the Labour Court or, where such leave is refused, within 15 days from the grant of leave by a judge:
>
> Provided that where leave to appeal is refused by the Labour Court, the applicant shall apply for leave to appeal to a judge within ten days of the refusal to grant leave."

32. The foregoing provisions have been the subject of judicial scrutiny over a long time to the extent that it is now trite that what the court has regard to in an application for leave to appeal is whether the intended appeal raises a question of law for consideration by the appellate court and whether it is arguable on appeal, what is at times referred to as prospects of success on appeal.

33. Grounds of appeal to this Court from a decision of the court *a quo* in labour matters must be on a question of law. See *Treger Plastics (Pvt) Ltd* v *Dube* SC 8/25. What constitutes a question of law was succinctly set out in *Muzuva* v *United Bottlers (Pvt) Ltd* 1994 (1) ZLR 217 (S) at p 220 D – F, as:

> "…. the term 'question of law' is used in three distinct though related senses. First, it means 'a question which the law itself has authoritatively answered to the exclusion of the right of the court to answer the question as it thinks fit in accordance with what is considered to be the truth and justice of the matter.' Second, it means 'a question as to what the law is. Thus, an appeal on a question of law means an appeal in which the question for argument and determination is what the true rule of law is on a certain matter." And third, any question which is within the province of the judge instead of the jury is called a question of law."
>
> See also the remarks of GARWE JA, as he then was, in *Sable Chemicals Industries Ltd v Easterbrook* 2010 (2) ZLR 344 (S) at 346 B.

34. Accordingly, an appeal on a question of law is that in which the grounds of appeal seek an answer as to what the true position of the law is on a particular issue.

35. Turning to the second leg of the inquiry, that of prospects of success on appeal, there may be no convergence in judicial pronouncements as to what this relates to, but, from the authorities in this jurisdiction, it is accepted that prospects of success refer to having an arguable case on appeal or a case that cannot be categorized as hopeless. See *Treger Plastics (Pvt) Ltd*, *supra*, at p 7 in which reference is made to the cases of *Chikafu* v *Dodhill (Pvt) Ltd & Anor* 2009 (1) ZLR 293 (S); *Mpofu* v *NSSA* SC 105/22 and *Essop* v *S* (31/2016) [2016] ZASCA 114. The test of reasonable prospects of success postulates a

dispassionate decision based on the facts and the law that the appeal court could arrive at a different conclusion from that of the lower court.

36. PATEL JA, as he then was, aptly put it in *Prosecutor General* v *Intratek* & *Anor* 2019 (3) ZLR 106 (S) at 114 D-E:

> "As for the requirements of leave to appeal to be obtained before the right to appeal is exercised, this Court is vested with an essentially gatekeeping function, *viz*, to allow only cases that deserve to be heard on appeal to pass muster. What this entails is an evaluation of the grounds of appeal to be relied upon and their prospects of success at the intended appeal. See *Chikurunhe & Ors* v *Zimbabwe Financial Holdings* SC 10/08, *Chipangura* v *Environmental Management Authority* SC 35/12."

CONSIDERATION

37. The grounds upon which the applicant proposes to approach the appeal court are these:

"a. The court *a quo* grossly erred in fact and consequently in law, in failing to appreciate that between the parties was a contractual dispute, resolution of which required a mere application of the rules of statutory interpretation.

b. In upholding the arbitrator's finding that the contract of employment between the parties was one without limited time, the court *a quo* grossly erred, particularly because it was clear from the award subject to the appeal that:

(a) the arbitrator had arrived at that finding by erroneously implying the parties' intention to create a contract without limit of time from an approval of leave days which extended beyond the expiry date of the employment contract, without properly engaging the rules of interpretation of contracts;

(b) the arbitrator had also arrived at that finding on the basis of legitimate expectation, which was not satisfied in terms of s 12 B (3) (b) of the Labour Act [*Chapter 28:01*];

(c) the arbitrator had clearly held that during the period January 2023 to December 2023, parties had signed a fixed term contract.

c. Having erroneously found that the contract of employment between the parties was one without limit of time, the court *a quo* went to further err in holding that

the termination of the respondent's contract by effluxion, as has been the norm for the previous three contracts, constituted unfair dismissal.

d. Lastly, by its finding that the contract between the parties was one without limit of time, the court *a quo* grossly erred, given that, essentially, it created a new contract for the parties, in violation of foundational principles of Labour and contract law, especially the principle of sanctity of contracts."

38. It is obvious that the above grounds of appeal need attention. In fact, they could have been drafted with a better degree of elegance. That, however, does not detract from their content and the fact that they are indeed directed at points of law. Significantly, Ms *Jakara* for the respondent, did not attack the grounds of appeal on the basis that they do not speak to points of law, because they do. She attacked them, firstly, on the basis that they are divorced from the issues that were placed before the court *a quo* and, secondly, that they seek to introduce new arguments that were not raised *a quo*. I find that the grounds satisfy the first rung of the inquiry as they raise points of law.

39. The issue of whether the grounds of appeal deserve to be heard by the appellate court is the applicant's biggest undoing. Looking at the proposed grounds of appeal, they seek to invite the appellate court to determine, firstly, whether the contract of employment had a time limit and, secondly, whether the respondent was unfairly dismissed. Those two issues were dealt with and resolved by both the Arbitrator and the court *a quo* in an impressive manner that cannot possibly be impugned on the above grounds.

40. As already noted, the Arbitrator was called upon to determine which document, of the two produced by each party, constituted the employment contract. He was called upon to do so against the backdrop of common cause facts that in December 2023 the parties were in an employer – employee relationship of a sort and that at that time the respondent was on

a 3- month annual leave approved by the applicant on 20 October 2023. The leave was approved to end on 21 January 2024, 3 weeks after the applicant claimed the employment contract had terminated by effluxion of time.

41. More importantly, one of the contracts placed before the Arbitrator as being the one regulating the relationship between the parties, had a life-span of only 1 month from 1 January 2023 to 31 January 2023. That contract was produced by the applicant and it stuck to it as if life itself depended on it even though it destroyed its case completely. The Arbitrator cannot be faulted for finding as he did that:

> "On 01 January 2023 parties entered into another contract which commenced on 01 January 2023 and did not indicate its duration compared to other fixed-termination contracts signed by parties in the past.
>
> Clause 11.1.1 requires either party to give three months' notice on termination of contract. There's no evidence or proof that respondent gave claimant three months' notice as per the agreed clause cited above and consented by parties in agreement.
> …
> It is noted that s 12 (4) (a) of the Labour Act dealing with termination procedures requires three months' notice in the contract without limit of time where duration of the contract of employment is not indicated."

42. By the same token, the Arbitrator cannot be faulted in coming to a conclusion that the respondent's employment contract was unlawfully terminated. This is so because it was common cause that the procedure for termination of employment prescribed in the Act was not followed as the respondent was recalled from leave to be informed of the termination.

43. The court *a quo* upheld the finding of the Arbitrator in that regard. In doing so, the court *a quo* made the critical observation that it is the applicant itself which "impugned" its own evidence on the basis of a discrepancy in the date and concluded:

> "Accordingly, I am of the view that the appellant failed to discharge the burden of proof incumbent upon it to demonstrate that the contract produced by the respondent is not a genuine and operative version."

44. That really should be the end of the matter because nowhere whatsoever does the applicant even attempt to deny that its representative's signature was appended on the employment contract accepted by the Arbitrator as binding on the parties. There is nothing in that employment contract requiring the deployment of "the rules of statutory interpretation" or even "the rules of interpretation of contracts".

45. The argument on legitimate expectation is a red herring. The Arbitrator may have strayed from the field of discourse by adverting to a legitimate expectation and the existence of an alleged fixed term contract from 1 January 2023 to 31 December 2023, but that does not take away anything from the *ratio decidendi* of the arbitral award. The Arbitrator is a lay – person susceptible to such errors, but such cannot lead to the setting aside of the award in the circumstances of this matter.

THE NEED FOR CONCURRENCE

46. At the hearing of the application, what exercised my mind was whether, in the event of a dismissal of the application for leave to appeal there is need to secure the concurrence of two other judges of the Court. I agonized on that aspect because r 66 (2) under which the application for leave is made is completely silent on that aspect.

47. Mr *Matsanura*, for the applicant submitted that such concurrence is required because the *proviso* to r 50 (7) requires the judge to obtain it in the event of a dismissal of the application. My view is that r 50 (7) does not apply to the present application because it falls under Part VI of the Supreme Court Rules, 2025 which regulates "Civil Appeals from the High Court."

48. Ms *Jakara* for the respondent submitted that concurrence is not required because the rule under which the application for leave is made does not provide for it. I do not think the issue is that simple. Elsewhere in this judgment I pointed out that r 66 (2) is located in Part

VII of the Court's Rules which deals with "Miscellaneous Appeals and References." The Part embodies r 63 right up to r 70 which regulate appeals from the court *a quo*, the Administrative Court and other tribunals but specifically does not apply to appeals or references in terms of the High Court Act [*Chapter 7:06*] by dint of r 63 (2).

49. Although r 66 (2) is silent on the need for concurrence, r 67, which comes immediately after it but deals with applications for extension of time to appeal provides for concurrence. It reads:

> "**Applications for extension of time to appeal**
>
> 67. Save where it is expressly or by necessary implication prohibited by the enactment concerned, a judge may, if special circumstances are shown by way of an application in writing, condone the late noting of the appeal and extend the time laid down, whether by r 66 or by the enactment concerned, for instituting an appeal:
>
> Provided that where the judge dismisses an application filed in terms of this rule, he or she shall do so with the concurrence of two other judges as appointed for that purposes by the senior judge of the court."

50. What it means is that, if one adopts the argument advanced by Ms *Jakara*, an application made in terms of r 66, for instance an application for extension of time to appeal, may be refused with the concurrence of two other judges. If an application for leave to appeal is made in terms of the same rule, it may be refused without the need for concurrence. I do not think that was the intention of the framers of the Rules.

51. There is an obvious *lacuna* in r 66 and indeed r 67. Clearly the intention was to provide for the concurrence of two other judges if any application in terms of r 66 or r 67 is dismissed. The idea was to ensure that before closing the door to an applicant, closer scrutiny should be made by two other judges. My view is that r 66 (2) should be construed as requiring concurrence in the event of a dismissal in order to give effect to the legislative intendment.

DISPOSITION

52. The applicant has failed to satisfy the requirements for the grant of leave to appeal. The application has no merit at all. Regarding costs, it should have been apparent to the applicant that the application has no merit. Accordingly, there is no reason why it should not bear the costs.

53. In the result, it is ordered that:

    1. The application is dismissed.
    2. The applicant shall bear the costs.

UCHENA JA : I agree

MUSAKWA JA : I agree

Bonongwe & Company, applicant's legal practitioners.

Mundia & Mudhara, respondent's legal practitioners.